

Profit Niti – AI Report (2025-01-01 / 2025-08-30)

Last Month KPI Data (August 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0

1. Big Picture — How the Business Looks Right Now

Your business is a high-margin, high-profit operation with a strong financial year 2024-2025 ending on a powerful note. The Q4 (Jan-Mar 2025) saw peak sales of over ₹133 crore and a net profit of ₹98.4 crore. However, the start of FY 2025-26 in April shows a significant drop in sales to ₹79 crore, though profitability remains exceptionally high. The company is heavily reliant on debt financing, with a large portion of liabilities being "Other Current Liabilities," and is experiencing major swings in working capital management.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Net profit margins are stellar, reaching 86.83% in April 2025. Your core operations are incredibly efficient.
- **Strong Debt Repayment:** You are actively reducing your secured borrowings, which have decreased from ₹47.5 crore in Feb to ₹36.8 crore in April, improving your debt position.
- **High Return on Capital:** The Return on Capital is above 246%, indicating you are generating massive profits from the money invested in the business.

RED FLAG BOX — What Needs Attention

- **Volatile Sales & High Inventory:** Sales dropped ~40% month-on-month in April. Inventory days have ballooned to 245 days, meaning stock is sitting for over 8 months before being sold, tying up crucial cash.
- **Negative Operating Cash Flow & Tight Liquidity:** The cash flow from operations was negative ₹118 crore in February. The Current Ratio is below 1 (0.97 in April), indicating potential difficulty in meeting short-term obligations.
- **Unclear Large Liabilities:** "Other Current Liabilities" constitute over ₹138 crore (52% of total liabilities). This needs clarity—is it short-term debt, advances, or payables? It's a major risk if not managed.

Strategic Advice:

Immediate priority is to convert your high profits into stable cash. Focus on reducing inventory levels drastically and clarifying the nature of the large "Other Current Liabilities." Use the strong profits from Q4 to build a cash reserve to cushion against sales volatility and improve your immediate liquidity position.